

GUIDE

Ready for the *new* SORP

What the Charities SORP 2026 asks you to say about impact, what to measure, what to say, and what not to claim. With a readiness checklist for your next trustee meeting.

evidence, not adjectives

FOR TRUSTEES, CHIEF EXECUTIVES AND FINANCE LEADS

EDITION OCTOBER 2026

Impact is now part of the accounts

For thirty years the trustees' annual report has asked what a charity did. From 2026 it asks what difference the charity made. For most boards, that is the biggest change in the new SORP, and the one least likely to be handled by the accountant.

EVIDENCE The Charities SORP 2026 was published in October 2025 and applies to reporting periods beginning on or after 1 January 2026: the year ending 31 December 2026, or 31 March 2027, for most charities. It applies to accruals accounts. Charities below the receipts-and-payments threshold (£500,000 of income in England and Wales from 30 September 2026) may prepare simpler accounts to which the SORP does not apply, but the Commission still expects a trustees' annual report from every registered charity.

EVIDENCE The new SORP sorts charities into three tiers by gross income. Tier 1: up to £500,000. Tier 2: over £500,000 and up to £15 million. Tier 3: over £15 million. Each tier adds requirements to the one below.

Tier 1

UP TO £500,000

Must summarise the main achievements. Should consider how the work made a difference to beneficiaries and provided benefit to wider society.

Tier 2

£500,000 TO £15M

Must explain the impact the charity is making, and must consider the long-term effect of its activities on individual beneficiaries and on society as a whole.

Tier 3

OVER £15M

As Tier 2, plus a mandatory summary of how the charity is responding to and managing environmental, social and governance matters.

INTERPRETATION Three things follow. If your income is over £500,000, the impact section is no longer a nice-to-have: your examiner or auditor will look for it. If you are under £500,000, the word is "should", which means funders will expect it even though the regulator will not insist. And none of it can be written in the week before the accounts are signed, because it depends on evidence collected during the year. That is why this guide exists: what the SORP asks, what to measure, what to say, what not to claim, and a readiness checklist.

EVIDENCE a fact from the SORP, the regulator or the law **INTERPRETATION** our reading of what it means for you
DECISION a choice only your board can make

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The trustees' annual report, by tier

Module 1 of the SORP sets out the report. The table shows the requirements most likely to need work beyond what you already do. Paragraph numbers are given so you can check the wording yourself.

TOPIC	TIER 1 (UP TO £500K)	TIER 2 AND TIER 3 ADD
Achievements and performance (1.27)	Must give a summary of the main achievements. Should consider how the work made a difference to beneficiaries and provided benefit to wider society.	Must explain the impact the charity is making, and consider the long-term effect of its activities on individual beneficiaries and on society as a whole.
Volunteers (1.21)	Must explain the scale and nature of the activities undertaken by volunteers in different roles.	Encouraged to give numbers, roles and estimated hours where the data exists.
Reserves (1.37 to 1.40)	Must state the policy and why, the amount held, a comparison with the target, and the steps being taken if they differ; plus material designated or committed funds and when they will be spent.	Same, with more detail expected.
Going concern (1.41, 1.42)	Must explain why the charity is a going concern if reserves are nil or negative; must disclose material uncertainties.	Same; Tier 3 must explain the basis of the assessment.
Plans for the future (1.47)	Must give a summary of the charity's plans.	Fuller plans, linked to reserves and going concern.
Principal risks (1.43)	May include.	Must describe principal risks and how they are managed.
Environmental, social and governance (1.60)	May include.	Tier 2 may; Tier 3 must summarise how it is responding to and managing ESG matters.

EVIDENCE The SORP keeps its "must, should, may" hierarchy: "must" is required for a true and fair report; "should" is recommended practice an examiner may ask about; "may" is optional. The accounting changes in the same SORP (most leases on the balance sheet, a five-step model for contract income, revised cash-flow and threshold rules) are the accountant's job and are not covered here.

What the regulator is really asking

INTERPRETATION Read the impact wording slowly: "the difference the work made to beneficiaries", "the benefit provided to wider society" and, for larger charities, "the long-term effect". Three different questions. Most trustees' reports answer none of them; they list activities and numbers served. The SORP asks you to move up a level, from what you did to what changed because you did it. The standard is proportionate: a Tier 1 charity with a sound Theory of Change and three well-chosen outcomes will meet it comfortably. Adjectives will not.

THE KEY QUESTION

If a funder read only your achievements section, would they know what changed for the people you serve, how you know, and what you still cannot show?

Outputs, outcomes and impact

The SORP uses the word impact. Most charities use it to mean everything they do. Before you measure anything, agree what the words mean, because the report has to use them precisely.

OUTPUTS

What you delivered. Sessions run, people supported, meals served, grants made. Counted, not judged. Necessary, but not evidence of difference.

OUTCOMES

What changed for the people you worked with, in the period you can see. Confidence, skills, housing, income, health, relationships. This is where the SORP's "difference to beneficiaries" lives.

IMPACT

The lasting difference, for people and for society, that would not have happened without you. The SORP's "long-term effect" and "benefit to wider society". The hardest to show, and the easiest to overclaim.

INTERPRETATION A Tier 1 charity can meet the SORP by reporting outputs honestly and outcomes carefully, and by saying what it believes the longer-term impact to be, labelled as belief. A Tier 2 or Tier 3 charity needs outcome evidence of its own and a reasoned account of long-term effect, which usually means drawing on research as well as its own data.

Start from a Theory of Change

The quickest way to decide what to measure is to write down, on one page, how your work is supposed to lead to change: the need, what you do, what happens immediately, what changes for people over time, and the difference to society that follows. Every link in that chain is an assumption. Your measurement plan is simply the list of assumptions you most need to test.

- 1 **Name the need.** Who, what problem, how many, and your evidence that it is real.
- 2 **List what you do.** The activities and the outputs they produce. These you already count.
- 3 **Name the outcomes.** Three to five changes you expect for the people you serve. Not twenty. If you cannot say which three matter most, your strategy has a problem the SORP is about to expose.
- 4 **Say what the long-term effect is meant to be.** For individuals and for society. Be specific: "fewer young people excluded from school", not "transformed lives".
- 5 **Mark the links you can evidence and the ones you cannot.** Honest gaps are allowed in the report. Hidden ones are not.

three outcomes, not twenty →

Choosing indicators you can actually collect

For each outcome, pick one indicator, one method and one moment. Proportionate measurement beats ambitious measurement that never happens.

OUTCOME (EXAMPLE)	INDICATOR	METHOD	WHEN
Young people more confident about work	Self-rated confidence, 1 to 5	Two questions, start and end of programme	First and last session
Older people less isolated	Number of weekly social contacts	Short conversation recorded by the befriender	Month 1 and month 6
Families in stable housing	Housing status at exit and after six months	Case record, follow-up call	Exit and six months after
Carers better supported	Carer strain, standard short scale	Validated questionnaire	Start and twelve weeks
Community has more say	Residents involved in decisions	Count, plus three quotes from residents	Quarterly

EVIDENCE The SORP does not prescribe methods or require key performance indicators. It asks charities to select approaches appropriate to their size and activities, and accepts qualitative evidence (case studies, beneficiary accounts) alongside numbers. Professional guidance on the new SORP consistently encourages a mix of both and the use of trend data over time.

Rules of thumb

- **Use what you already collect** before inventing anything. Case records, attendance, exit forms and referral data usually contain more outcome evidence than anyone has analysed.
- **Before and after beats after only.** A single question asked twice is worth more than a long survey asked once.
- **Sample when you cannot census.** Thirty well-chosen follow-up calls tell a truer story than a form only the keenest ten per cent return.
- **Keep the voice of the people you serve.** Two sentences in their words, with consent, carry weight that a percentage cannot.
- **Record what did not work.** The SORP wants a true and fair view, and funders trust charities that report setbacks.
- **Decide now who owns the data.** One named person, one spreadsheet, one review a quarter. Impact reporting fails on logistics, not on ideas.

The shape of a good achievements section

The report will be read by people who were not there. Give them the story in the order they need it.

1

What we set out to do. The year's objectives, taken from the plan you reported last year. Two or three, not a list of everything.

2

What we did. The outputs, in a short table or one paragraph. Not the whole section.

3

What changed for the people we serve. One short paragraph per outcome: indicator, result, comparison (last year, or start versus end), and one quote in the beneficiary's words.

4

The longer-term difference, and how we know. Tier 2 and 3 must; Tier 1 should. State what you believe the long-term effect is, cite the evidence (your own follow-up, or published research), and say where you are inferring rather than measuring.

5

Benefit to wider society. Who else gains when your beneficiaries do: families, schools, the NHS, employers. Only what you can reasonably argue.

6

What did not go to plan, and what we learned. One honest paragraph. It is the most-read paragraph in the report, and the one that persuades a funder to trust you with more.

7

What we will do next year as a result. This feeds the plans-for-the-future section the SORP now requires, and shows the board using evidence to decide.

Before and after

BEFORE

"It has been another incredibly busy and successful year. Our dedicated team delivered 312 sessions to 540 beneficiaries across the county, transforming lives and building brighter futures. Feedback has been overwhelmingly positive."

INTERPRETATION Two outputs, four adjectives, no outcomes, no evidence, no learning. It does not meet the new SORP's words.

AFTER

"We set out to help 500 young people in Flintshire feel ready for work. We ran 312 sessions for 540 young people. Of the 318 who completed our programme and answered both questions, confidence about applying for work rose from an average of 2.1 to 3.8 out of 5. Six months on, 46 of the 71 we could contact were in work, training or an apprenticeship. We cannot yet show what would have happened without us; next year we will compare with those on our waiting list. Attendance in our evening group fell by a third after a venue change, which we have reversed."

INTERPRETATION Objective, outputs, an outcome with a before-and-after, follow-up with its limits stated, a setback, a plan. No adjectives.

WRITING RULES

Numbers with denominators ("46 of the 71 we could contact", not "65%"). Comparisons, not totals. Beneficiaries' words, with consent, not the chair's. Claims no bigger than the evidence. One setback, named. If a sentence would survive being read aloud to the people it describes, keep it.

Overclaiming is the new risk

Under the old SORP, a vague achievements section was a missed opportunity. Under the new one it is a reporting weakness that an examiner, a funder or a journalist can test. These are the claims to keep out.

"WE CHANGED 540 LIVES"

An output dressed as an impact. You supported 540 people; you can only say lives changed for those whose change you measured.

"OUR WORK LED TO A 20% FALL IN..."

Attribution without a comparison. Unless you can show what happened to similar people who did not get your help, say "contributed to" and name the other factors.

"100% OF PARTICIPANTS SAID..."

Usually 100% of the ones who filled in the form. Give the denominator and the response rate, every time.

"FOR EVERY £1 INVESTED WE CREATE £7 OF SOCIAL VALUE"

Social return figures depend entirely on assumptions. Quote them only with the method, the assumptions and the range, or not at all.

"LASTING CHANGE" AND "LONG-TERM IMPACT"

Only if you have followed people up, or can cite research that links your outcomes to long-term effects. Otherwise it is a belief, and the report should call it one.

THE BEST CASE STUDY AS THE TYPICAL CASE

One story is illustration, not evidence. Say how typical it is.

SILENCE ABOUT WHAT WENT WRONG

The SORP asks for a true and fair view. A report with no setbacks reads as incomplete to anyone who has run a charity.

BORROWED STATISTICS

Sector-wide figures ("one in four adults will experience...") describe the need, not your impact. Keep them in the objectives section.

INTERPRETATION The pattern behind every item on this list is the same: a claim larger than the evidence underneath it. The fix is also the same: label your statements. In our client work every finding is marked as evidence, stakeholder view, our interpretation or a decision for the board. A trustees' report that does the equivalent, saying "we measured", "we observed", "we believe" and "we do not yet know", is both more honest and more convincing than one that does not.

THE HONESTY DIVIDEND

Funders read dozens of reports a month. The ones they remember are the ones that admit a limit. "We cannot yet show this" is a sentence that wins grants, because it tells the reader everything else in the report can be relied on.

What the examiner will look for

EVIDENCE Independent examiners and auditors check that the trustees' annual report is consistent with the accounts and contains what the SORP requires for the charity's tier. For Tier 2 and Tier 3 charities that now includes the impact explanation and the long-term-effect consideration; for every tier it includes the new reserves comparison, the going-concern statements and the plans for the future.

INTERPRETATION They will not grade your impact evidence; they will check it is there and consistent with the rest of the report. Funders, commissioners and the Commission's casework teams will read it for meaning. Write for them.

For your next trustee meeting

Eighteen questions. If the board can answer them all, you are ready. If it can answer fewer than half, the next two quarters' agenda writes itself.

THE BASICS

- ☐ Which tier are we in, and could we cross a threshold this year?
- ☐ Accruals accounts or receipts and payments? Does the SORP apply to us at all?
- ☐ Has our examiner or auditor told us what they will expect to see?
- ☐ Who on the board, and who on the staff, owns the achievements section?

IMPACT EVIDENCE

- ☐ Do we have a one-page Theory of Change the board has approved?
- ☐ Have we chosen three to five outcomes, with an indicator and a method for each?
- ☐ Are we collecting before-and-after data on at least one of them, now?
- ☐ Do we follow anyone up after they leave? If not, could we call thirty people?
- ☐ Can we point to research that links our outcomes to longer-term effects?

THE REST OF THE REPORT

- ☐ Does our reserves policy state a target, and do we meet it?
- ☐ If reserves are nil or negative, can we explain why we are still a going concern?
- ☐ Are our plans for next year written down and linked to the reserves position?
- ☐ Can we describe what volunteers do, by role, and roughly how many hours?
- ☐ Are our principal risks written down, with how we manage them? (Tier 2 and 3 must.)
- ☐ Will we say anything about environmental, social and governance matters? (Tier 3 must.)

THE HONESTY TEST

- ☐ What went wrong this year, and is the board willing to say so in print?
- ☐ Which of last year's claims could we not evidence if asked?
- ☐ Would a sceptical funder finish our report believing it?

A twelve-month plan

WHEN	WHAT
Now	Confirm tier and first reporting year. Appoint an owner. Approve a one-page Theory of Change. Choose three to five outcomes and indicators.
Next quarter	Start before-and-after data collection and the follow-up routine. Agree the reserves target and check the position. Write down principal risks.
Mid-year	Review first results at a board meeting. Drop any indicator nobody is collecting. Draft the plans for the future.
Three months before year end	Draft the achievements section using the shape in Part 3. Share it with the examiner. Ask three beneficiaries for their words.
Year end	Finalise the report with the accounts. Check every claim against its evidence. Keep the setback paragraph.

Your Theory of Change

Fill this in with the board, in pencil. It is the spine of the achievements section and the list of what you need to measure.

The need	Who, what problem, how many, and the evidence that it is real.
What we do	Activities and the outputs they produce (the things you already count).
Outcomes (three to five)	What changes for the people we work with, in the period we can see.
Long-term effect	For individuals, and for society. Specific, not "transformed lives".
Assumptions we cannot yet evidence	The links in the chain we believe but have not measured. These go in the report, labelled honestly.

Measurement plan

OUTCOME	INDICATOR	METHOD	WHEN	OWNER

Drafting template

Seven headings, in the order from Part 3. Write a paragraph under each, then delete the headings. Keep every denominator.

1. What we set out to do	This year's two or three objectives, as reported in last year's plans.
2. What we did	Outputs: one short table or paragraph.
3. What changed for the people we serve	One paragraph per outcome: indicator, result, comparison, one quote in their words.
4. The longer-term difference, and how we know	Belief, evidence, and the limits of the evidence.
5. Benefit to wider society	Who else gains, and the reasoning.
6. What did not go to plan, and what we learned	One honest paragraph.
7. What we will do next year as a result	Feeds the plans-for-the-future section.

BEFORE IT GOES TO THE EXAMINER

Read it aloud to one beneficiary and one funder. If either winces, rewrite the sentence. If neither does, sign it.

Sources and further reading

Charities SORP (FRS 102) 2026, Module 1: Trustees' Annual Report, published by the Charities SORP-making body (charitySORP.org), effective for reporting periods beginning on or after 1 January 2026. Charity Commission for England and Wales: *Changes to charity accounting and reporting* (gov.uk guidance, 2026) including the three income tiers and the revised audit, independent-examination and receipts-and-payments thresholds effective 30 September 2026; *Charity reporting and accounting: the essentials* (CC15). ICAEW Charity Community: *Charities SORP 2026: summary of changes*. Paragraph references in this guide are to Module 1 of the 2026 SORP as published; check the current text before relying on them. Tiers, thresholds and dates are as published in October 2026.

Where this guide describes what examiners, auditors and funders look for, that is our interpretation from thirty years of writing, reading and judging charity reports, and it is labelled as such.

Want help with your first report under the new SORP?

We can review your evidence, draft the achievements section with you, or run the board session that gets the Theory of Change agreed. Book a free 30-minute call: <https://calendly.com/social-intent/30min> · hello@social-intent.com · 0161 870 5544

no hard sell



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